

Monthly Market Insights

January 2025

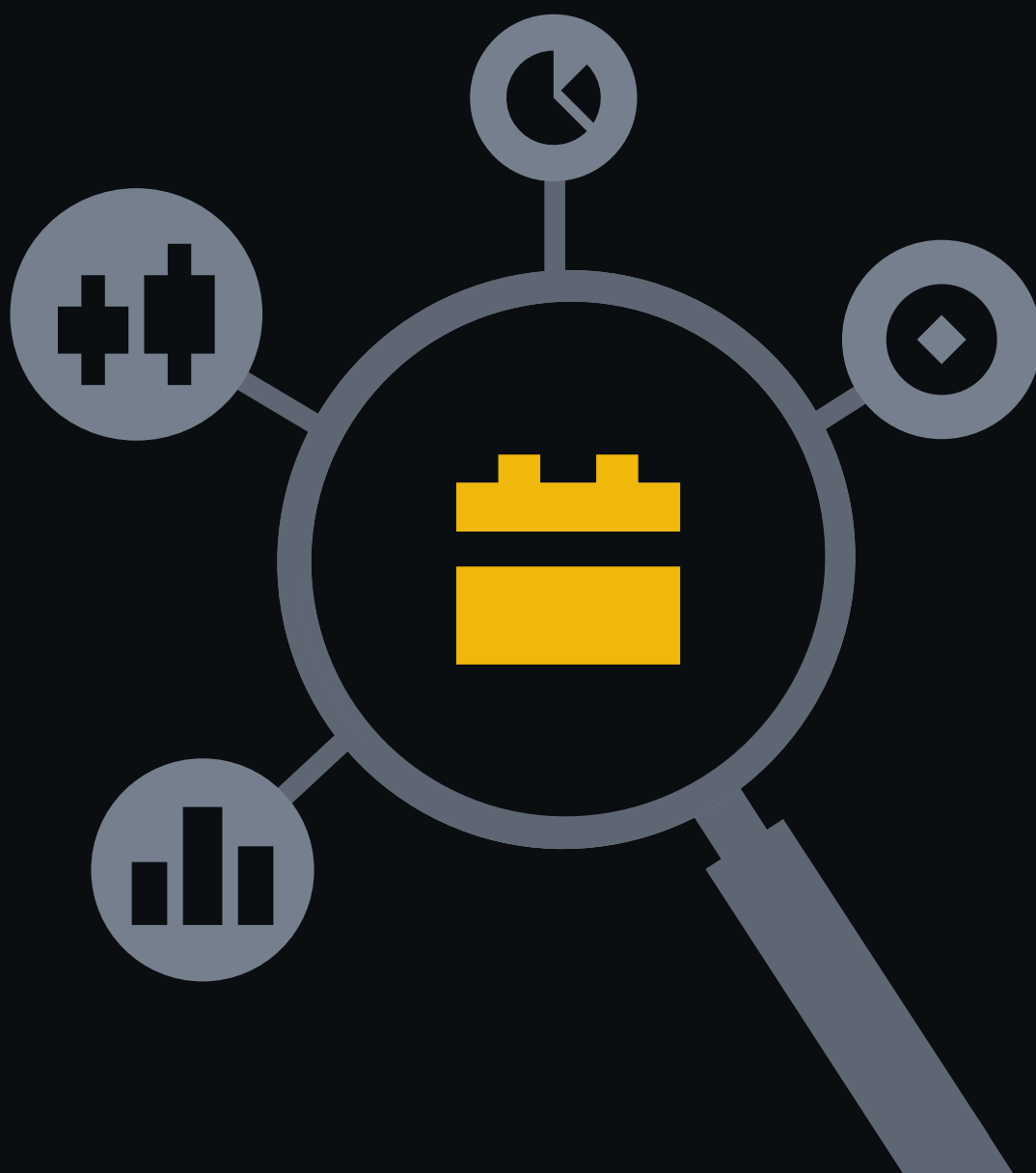


Table of Contents

01 / Key Takeaways	2
02 / Crypto Market Performance	3
2.1 Decentralized Finance (DeFi)	5
2.2 Non-Fungible Tokens (NFTs)	6
03 / Charts of the Month	8
Bitcoin Now 7th Largest Global Asset by Market Cap	8
USDe Overtakes USDS to Become the Third Largest Stablecoin	9
Decentralized Spot and Perpetual Volumes Surpass All-Time Highs	10
AI Agent Narrative Grows	11
04 / Upcoming Events and Token Unlocks	12
05 / References	13
06 / New Binance Research Reports	14
About Binance Research	15
Resources	17

01 / Key Takeaways

- In December 2024, the cryptocurrency market initially surged to a record US\$3.91T. This was fueled by regulatory optimism, institutional adoption, and Bitcoin's new all-time high of US\$108K which was driven by MicroStrategy's inclusion in the Nasdaq 100 as well as continued BTC acquisitions. The rally faltered in late December when the Federal Reserve reduced its planned 2025 rate cuts from four to two, despite a modest 0.25% cut during the month, triggering a sharp market correction that wiped over US\$0.5T from the cryptocurrency market capitalization.
- After a stellar year, including multiple all-time highs, Bitcoin closed the year with a ~123.4% year-to-date (YTD) market cap growth. This achievement ranks it as the 7th largest global asset by market cap, ahead of Saudi Aramco and Silver. Among the top 10 global assets, Bitcoin is one of the best performers this year, second only to Nvidia. Key drivers included wider market resurgence coinciding with catalysts like spot ETF approvals, Bitcoin Halving, monetary policy shifts, and expectations of a more supportive regulatory environment. If this growth continues into 2025, Bitcoin could rise further in the rankings, strengthening its position as a leading asset class.
- Ethena's USDe has rapidly scaled its market cap to around US\$5.9B, surpassing DAI as the 3rd largest stablecoin by market capitalization. Its success has been driven by the high yield behind staked USDe, as well as the addition of sUSDe as a collateral asset on Aave in November.
- Decentralized spot and perpetuals volumes reached all-time highs of US\$326B and US\$356B, respectively, in December. Decentralized perpetuals trading surged over 370% year-to-date, largely driven by Hyperliquid. Additionally, lending and liquid staking protocols achieved new TVL highs of US\$55B and US\$71B, respectively. The DeFi sector may be primed to experience further growth with the incoming pro-crypto Trump administration.
- AI Agents are starting to become an increasingly visible part of the crypto world and growing in mindshare. In fact, the top AI agent tokens now command multi-billion dollar valuations and around 100K daily impressions. In general, we can consider two types of AI agent plays: platforms and individual agents. The top platforms include Virtuals and ai16z (the team behind the Eliza framework to launch your own agent). The most notable individual agent is aixbt, which provides daily market analysis on a range of crypto topics. While many other agents are focused on a similar use case, we also have a growing number of entertainment agents, with other types like trading-agents being built out.

02 / Crypto Market Performance

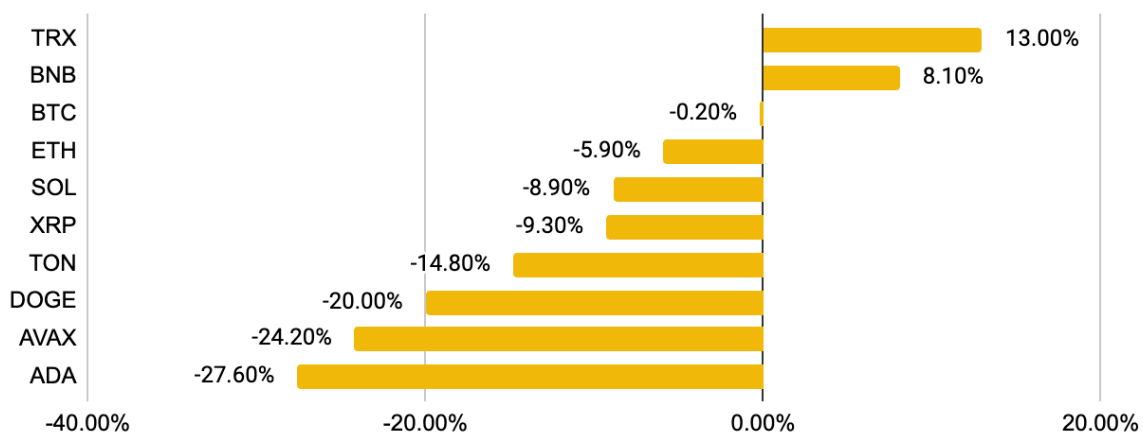
In December 2024, the cryptocurrency market surged to a record market capitalization of US\$3.91T on Dec 17, driven by regulatory optimism from November and growing institutional adoption. Bitcoin reached a new all-time high of US\$108K, catalysed by MicroStrategy's inclusion in the Nasdaq 100 and continued BTC acquisitions. Speculation that the US might adopt Bitcoin as a strategic reserve asset further fueled the rally, amplifying BTC dominance as capital shifted from altcoins to Bitcoin. However, momentum stalled in late December when the Federal Reserve scaled back its planned 2025 rate cuts from four to two, despite a 0.25% cut during the month. The announcement triggered a sharp correction, wiping out US\$0.5T from the market cap.

Figure 1: Monthly crypto market capitalization decreased by 4.5% in December

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2024	0.4	40.0	16.3	-11.3	8.6	-11.4	5.6	-12.4	8.0	2.8	39.9	-4.5
2023	30.4	3.4	9.3	3.2	-6.0	3.3	1.0	-8.8	2.6	19.0	11.0	15.2
2022	-22.6	-0.3	25.3	-18.1	-25.2	-31.7	21.8	-11.4	-2.1	7.2	-18.0	-4.5
2021	33.9	39.6	31.1	11.4	-25.7	-5.9	12.5	25.2	-9.9	42.9	-1.0	-15.0
2020	35.4	-5.5	-27.7	38.8	10.0	-4.5	25.9	13.7	-7.6	14.6	37.5	39.7
2019	-11.6	12.3	11.1	17.1	55.5	30.8	-22.5	-6.5	-13.7	14.8	-14.7	-7.9

Source: CoinGecko
As of December 31, 2024

Figure 2: Monthly price performance of the top 10 coins by market capitalization



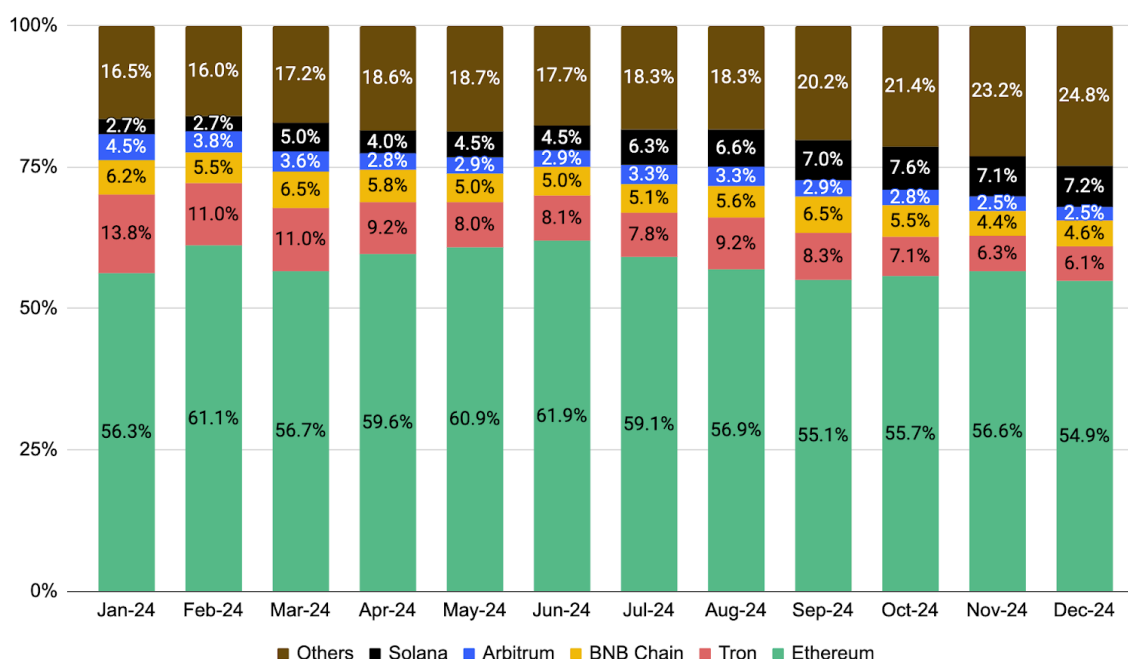
Source: CoinMarketCap
As of December 31, 2024

In descending order of performance:

- ◆ In December 2024, TRX emerged as the top performer, gaining 13.0%, driven by a significant rise in network activity. In November, TRON set a record, generating US\$240M in fees. Additionally, Tron founder Justin Sun recently joined World Liberty Financial (WLFI), a DeFi venture backed by Donald Trump and his sons, as an advisor. This move came a day after he purchased US\$30M worth of WLFI tokens, making him a major investor in the project.
- ◆ BNB rose by 8.1%, catalyzed by major developments and growing institutional adoption. PancakeSwap launched SpringBoard, a no-code platform for creating and launching tokens on BNB Chain with zero fees and automatic liquidity pairing. Osprey Funds also debuted the Osprey BNB Chain Trust, the first U.S. publicly-quoted fund based on BNB. BNB Chain's 2024 Annual Report outlined key initiatives, including the 'One BNB' multichain strategy, advancements in opBNB and Greenfield, and a focus on becoming an AI-first platform.
- ◆ Bitcoin and Ethereum saw strong gains in early December, with Bitcoin surpassing US\$100K. This is likely propelled by Jerome Powell's comparison to gold and Paul Atkins' SEC appointment which boosted US crypto regulation optimism. Institutional adoption, including MSTR's Nasdaq 100 inclusion and WLFI's acquisition of 2,631 ETH, further drove growth. Ethereum also benefited from BlackRock's US\$3.5B investment and Franklin Templeton's Benji launch. However, both assets later fell by 0.2% and 5.9%, respectively, as market adjustments and broader economic concerns led to price corrections.
- ◆ SOL fell by 8.9% in December 2024, primarily due to market-wide sell-offs sparked by Federal Reserve Chair Jerome Powell's hawkish outlook on 2025. Solana's Total Value Locked (TVL) dropped by 4.5%, signaling reduced interest in its DeFi ecosystem. On-chain activity also declined sharply, with daily transactions nearly halving since November, and revenues falling from US\$12M to US\$1.13M. These factors, combined with rising competition from emerging blockchain projects, significantly pressured Solana's price.
- ◆ XRP surged in December, driven by key developments that strengthened Ripple's ecosystem. The launch of the RLUSD stablecoin and Ripple's partnership with Archax enhanced the XRP Ledger's utility, increasing network activity and advancing real-world asset tokenization. Institutional adoption was further underscored by Workspoint's US\$5M XRP purchase for its treasury, alongside WisdomTree's filing for a spot XRP ETF, which bolstered XRP's standing as an investment asset. Despite these positive catalysts, XRP ended the month down 9.3%.
- ◆ DOGE plunged 20.0% in December, exacerbated by a critical network vulnerability exploited on December 12 by Andreas Kohl. The exploit, known as "DogeReaper," caused 69% of nodes to crash, slashing active nodes from 647 to 315. The flaw, initially flagged by an X account, highlighted underlying network weaknesses, compounding the cryptocurrency's challenges during the month.

2.1 Decentralized Finance (DeFi)

Figure 3: TVL share of top blockchains



Source: DeFiLlama
As of December 31, 2024

In December, DeFi Total Value Locked (TVL) declined by 1.6%, experiencing slight volatility throughout the month. This was exemplified by projects like Hyperliquid, which faced a US\$1B outflow and a 20% drop in their native token. This was driven by concerns over North Korean hacking after Talor Monahan, a Web 3 security expert, identified a surge in North Korea address activity.

In contrast, the stablecoin market cap remained stable, hovering around US\$240B with minimal fluctuations since December 17. This difference allows one to infer that TVL decline was primarily due to the depreciation of crypto asset prices rather than a fundamental shift in user behavior or significant capital outflows from DeFi protocols.

Solana experienced a significant downturn, with its TVL dropping by US\$1.1B, reaching US\$8.01B, a 12% decline. This decrease reflected a broader slowdown in network activity, including a 7% drop in daily active addresses. Key DeFi platforms like Jito saw TVL reductions, with Jito itself losing 28%, bringing its TVL to US\$2.66B. Additionally, Solana's revenue fell by 24%, and the price of its native token, SOL, plummeted by 28% within the month. These challenges have raised some concerns about Solana's future, although a market recovery could restore investor confidence.

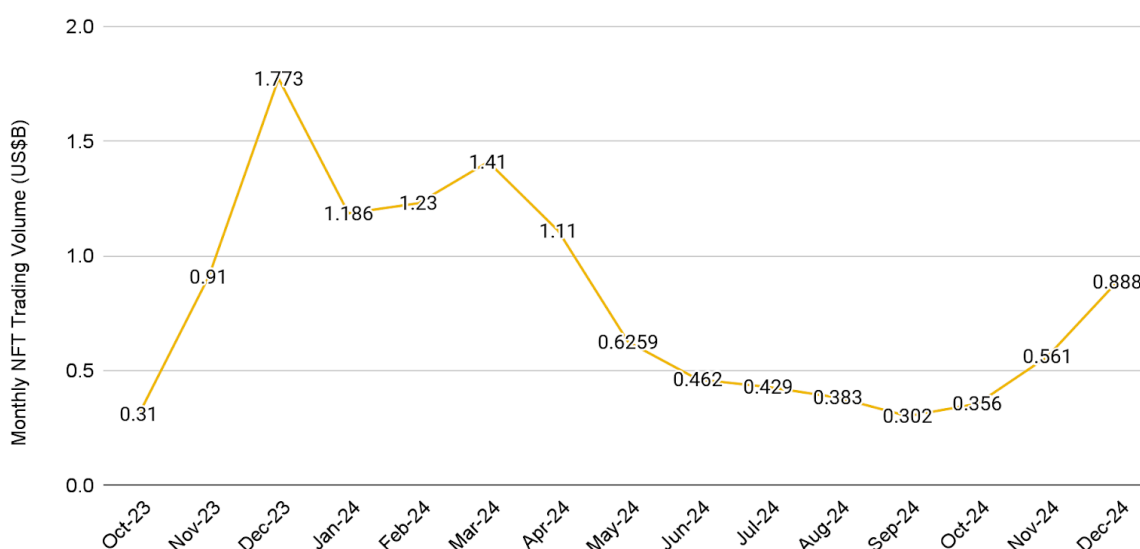
The Real-World Asset (RWA) sector has experienced explosive growth, with its TVL surging 58x in three years, reaching an all-time high of US\$8.2B, including a US\$1B increase in the last week alone. Key contributors include Usual and Hashnote, which posted weekly TVL growth of 65.65% and 65.58%, respectively, accounting for over 35% of the sector's value.

Usual's strong performance followed a US\$10M Series A funding round led by Binance Labs and Kraken Ventures. While some protocols like Nest Staking and MatrixDock also saw gains, others, such as Danogo and Maker RWA, incurred notable losses, reflecting mixed trends in the evolving sector.

Sui's DeFi ecosystem saw its TVL surge to an all-time high of US\$1.8B, driven by significant growth across key protocols. Suilend Protocol led with a 33.49% increase in TVL, reaching US\$509.43M, while NAVI Protocol followed with a 19.68% rise, totaling US\$455.27M. The growth can be attributed to increasing adoption of lending platforms and decentralized finance solutions on Sui, with Haedal Protocol also showing a positive trend (+10.58%). Despite some declines, like Cetus AMM's 12.74% drop, the overall rise reflects a growing interest in DeFi on Sui.

2.2 Non-Fungible Tokens (NFTs)

Figure 4: Monthly NFT trading volume



Source: CryptoSlam
As of December 31, 2024

In December, the NFT market saw a significant surge in total sales volume, with Ethereum-based NFTs surpassing US\$888.2M. This increase highlights a clear trend of market consolidation, as the number of unique buyers and sellers has gradually declined since November. Fewer participants are now driving a larger share of transactions, signaling the growing prominence of high-value trades. This shift is largely fueled by substantial institutional investment, such as Andreessen Horowitz's partnership with OpenSea to establish a 'Creator Legal Defense Fund.' Additionally, the rise of native token drops from NFT exchanges and projects has created new incentives, further propelling market activity.

Pudgy Penguins underpinned this growth with a 141.4% rise in volume, driven by the launch of its \$PENGU token. A substantial 25.9% of the token's supply was allocated to the

Pudgy Penguins community, fueling a surge in floor prices, which now exceed US\$100k, making it the second-most valuable NFT collection globally. The \$PENGU token was airdropped to over 780,000 addresses, contributing to the rise, though the floor price retreated from its peak of nearly 35 ETH to approximately 17 ETH post-airdrop. In contrast, legacy collections such as Bored Ape Yacht Club and CryptoPunks saw declines in sales of 45.5% and 58.8%, respectively.

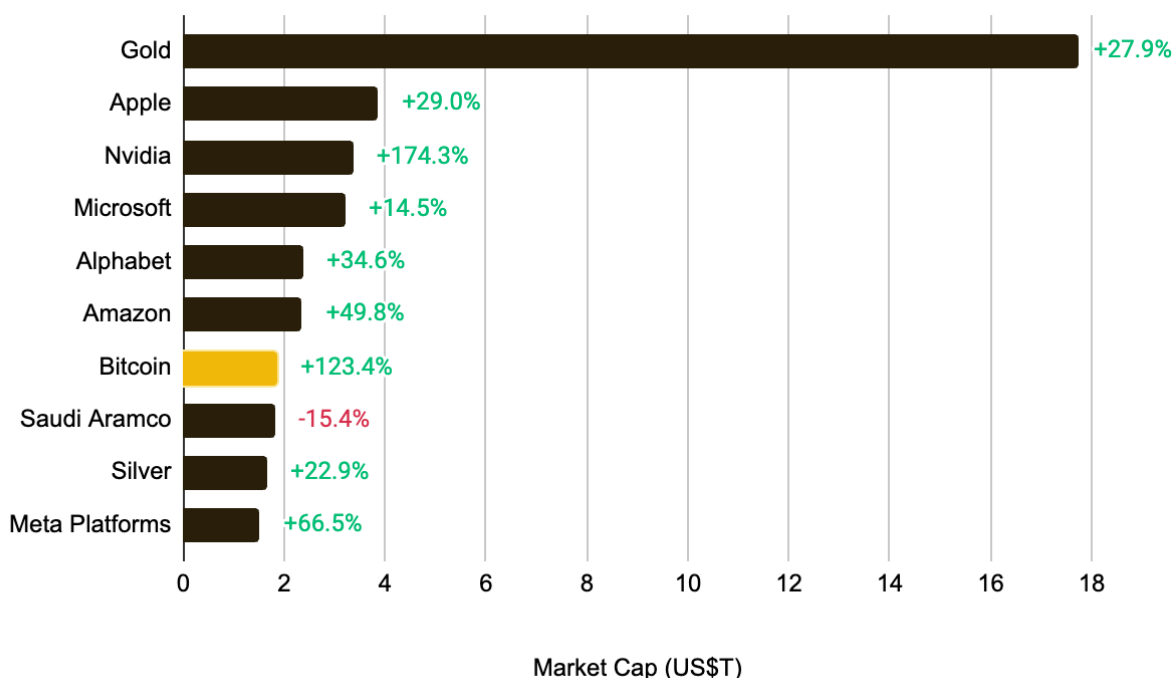
Bitcoin NFT volume declined by 22.0% in December, fueled by sustained enthusiasm for NodeMonkeys and the innovative BRC-20 protocol. Floor prices for leading projects saw sharp increases, with Quantum Cats rising by 87.8%, Ordinal Maxi Biz up by 14.6%, and NatCats gaining an impressive 109.7%. However, unlike November, the Top 10 Bitcoin NFT projects by market capitalization experienced heightened volatility and reduced month-over-month returns, indicating increased market fluctuations.

Other chains such as Solana, Polygon, and BNB Chain reported significant decreases in sales volume - Solana by 47.0%, Polygon by 4.7%, and BNB Chain by 73.3%.

03 / Charts of the Month

Bitcoin Now 7th Largest Global Asset by Market Cap

Figure 5: With ~123.4% YTD growth, Bitcoin ended 2024 as the 7th largest global asset by market cap and one of the year's top performers



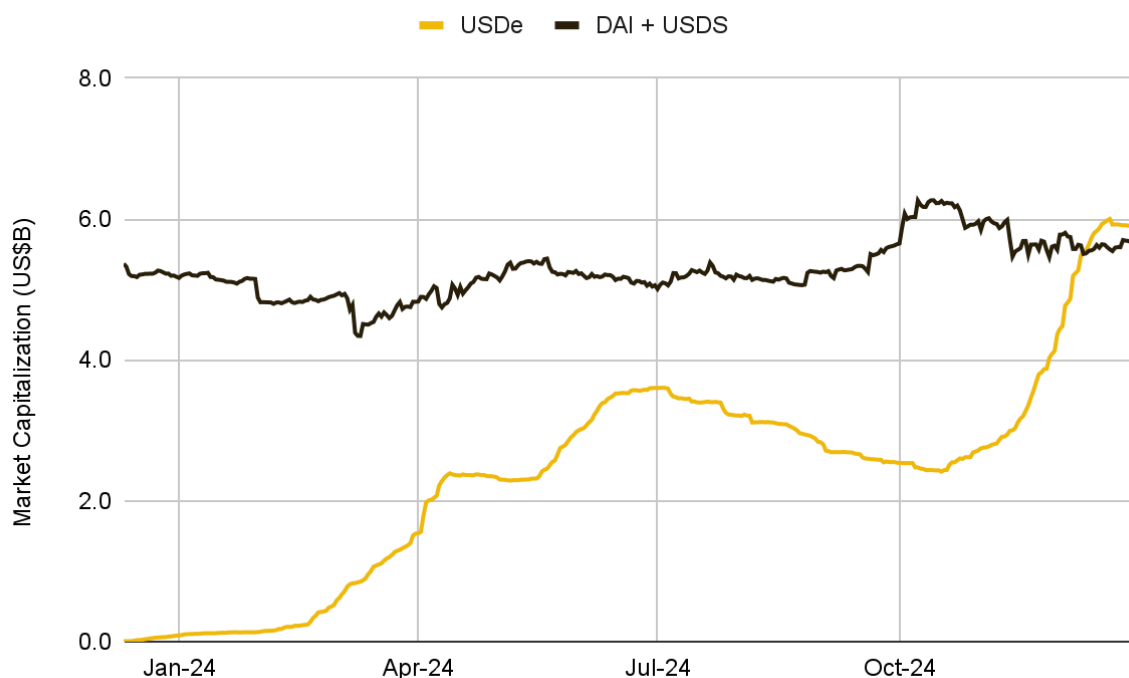
Note: Percentages indicate year-to-date growth in market capitalization
Source: CompaniesMarketCap, Yahoo Finance, CoinMarketCap, Binance Research
As of December 31, 2024

After a stellar year marked by multiple all-time highs, including a recent peak of US\$108.3K, Bitcoin concluded the year with a ~123.4% YTD market cap growth. This achievement ranks Bitcoin as the 7th largest global asset by market cap, ahead of Saudi Aramco and Silver, further solidifying its status as a major asset class. Among the top 10 global assets, Bitcoin also stands out as one of the best-performing this year, second only to Nvidia. This remarkable milestone is even more impressive considering Bitcoin's relative youth - just over a decade old - compared to the more established asset classes on the list. Moreover, adoption remains relatively nascent, with Bitcoin still in the process of being integrated into traditional investment portfolios.

Bitcoin's success in 2024 was driven by several key catalysts, including a broader market resurgence fueled by spot Bitcoin ETF approvals, which enhanced its legitimacy as an asset class and spurred growing institutional adoption. Additional factors included the Bitcoin Halving which created a supply shock, favorable global monetary policy shifts, and expectations of a more supportive regulatory environment following the U.S. election. If Bitcoin maintains its current growth trajectory into 2025, it could continue climbing the global asset rankings, closing the gap with Gold and strengthening its position as a leading asset class.

USDe Overtakes USDS to Become the Third Largest Stablecoin

Figure 6: Market capitalization of USDe surged in December



Source: CoinMarketCap, Binance Research
As of December 31, 2024

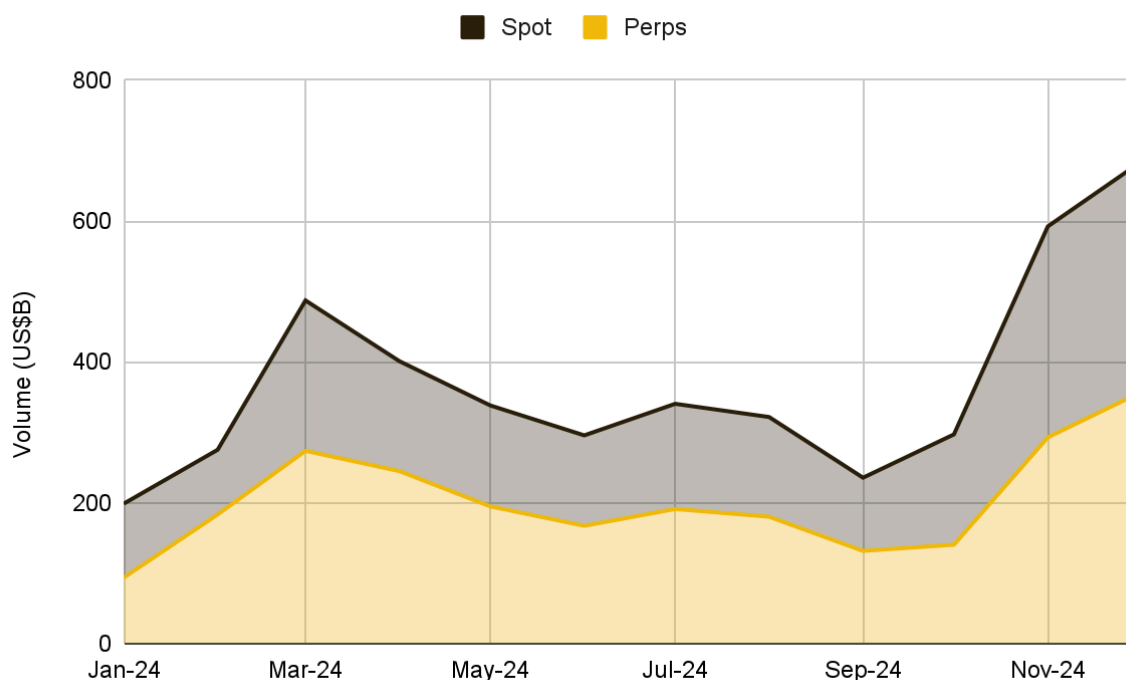
Despite having launched barely a year ago, Ethena's synthetic dollar, USDe, has rapidly scaled its circulating market cap to around US\$5.9B today, making it one of the fastest-growing in the space. Notably, USDe surpassed USDS as the 3rd largest stablecoin by market capitalization in December 2024.

Its success is directly related to its unique approach to stablecoins as a synthetic dollar protocol. By democratizing access to the delta-neutral trade, Ethena has been able to satisfy the market's strong demand for yield. At the time of writing, staked USDe ("sUSDe") is offering a yield of around 10%. Ethena's rapid rise also comes after sUSDe's addition as a collateral asset on Aave in November, enabling stablecoins to be borrowed against sUSDe. This involves depositing sUSDe on Aave, borrowing stablecoins (e.g., USDC), and swapping them for more sUSDe.

In December, Ethena Labs announced the launch of a new stablecoin, USDtb, which will be backed primarily by BlackRock's BUIDL fund. This new offering provides users with a distinct product featuring a different set of risks, while also enabling Ethena to redirect USDe's backing assets to USDtb during prolonged periods of negative funding rates.

Decentralized Spot and Perpetual Volumes Surpass All-Time Highs

Figure 7: Decentralized spot and perpetual monthly volumes hit new all time highs of US\$326B and US\$356B respectively



Source: The Block, Binance Research
As of December 31, 2024

In the past three months, both decentralized spot and perpetuals volumes have reached new all-time highs, with monthly volumes of US\$326B and US\$356B, respectively, as of December 2024. Much of the spot volumes were driven by the Solana-based meme trading on Raydium, and Base-native AI agent token trading on Aerodrome. Decentralized perpetual trading activity has notably surged, increasing by over 370% year-to-date. The decentralized perpetual volume to centralized perpetual volume ratio hit a record high of over 10% in December 2024, while the DEX to CEX volume ratio sits just shy of its all-time high at 11.8%. This growth was primarily driven by Hyperliquid, which accounted for over 60% of the total decentralized perpetual trading volumes for the month.

Additionally, other DeFi primitives are experiencing significant growth. In December 2024, the total value locked (TVL) in lending and liquid staking protocols reached new all-time highs of US\$55B and US\$71B, respectively. The resurgence in activity, coupled with the incoming pro-crypto Trump administration, could further accelerate the expansion of the DeFi industry.

AI Agent Narrative Grows

Figure 8: The leading AI agent tokens are now commanding multi-billion dollar valuations with 100K+ daily impressions

	Market Cap (US\$M)	Mindshare (%)	Average Impressions (K, daily)
VIRTUALS	3,500	9.1	115
AI16Z	1,410	7.5	52
FARTCOIN	827	11.1	31
TURBO	661	0.5	18
AIXBT	482	14.7	77
GOAT	470	2.2	31
ZEREBRO	450	4.1	4
ACT	276	0.5	33
GAME	270	1.4	72
GRIFFAIN	250	3.5	118

Source: Cookie.fun, Binance Research.
As of December 31, 2024

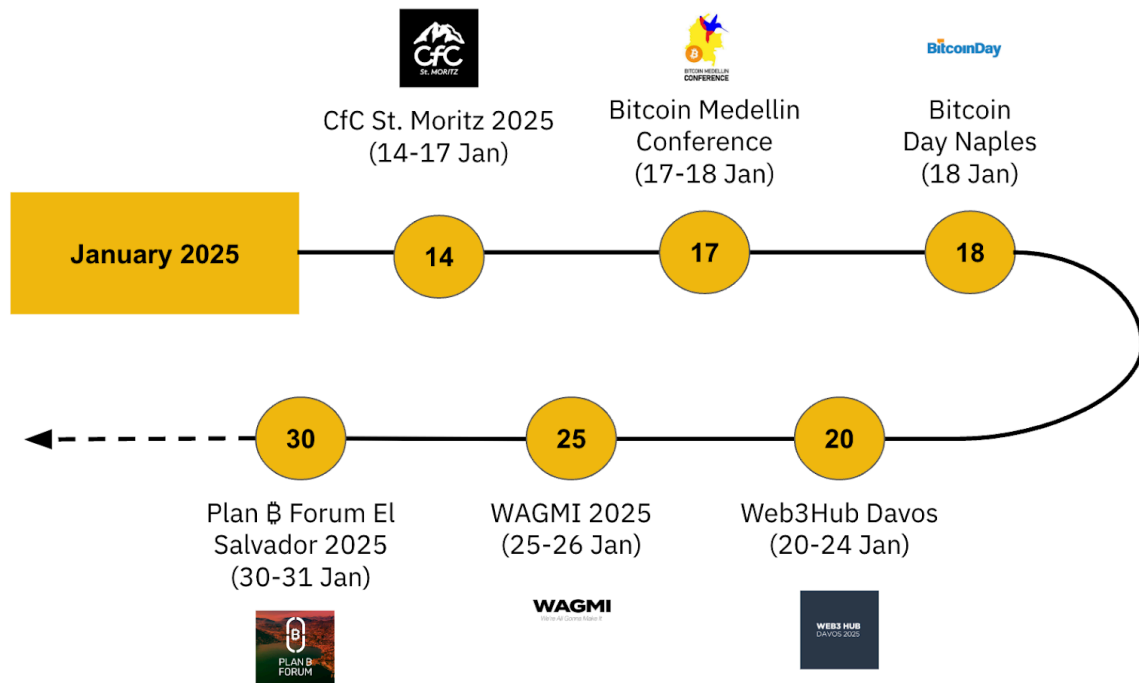
AI agents are starting to become an increasingly visible part of the crypto world. As a reminder, an AI agent is autonomous software that can plan, execute tasks, and work towards some defined goal without human intervention. They differ from bots in terms of their overall scope, level of autonomy, capacity for iteration, self reflection, and collaboration, etc. The AI agent narrative was kickstarted by the lore around Truth Terminal and the GOAT token a few months ago, and things have continued to evolve since then, with numerous new projects launching. More on the origin story [here](#).

In general, there are two types of AI agent plays. Firstly, we have the platforms. The largest AI agent launchpad is Virtuals which allows users to tokenize and create their own agents. The tokenomics of Virtuals are such that the protocol benefits from the success of each agent through a flywheel. We also have Zerebro, which has launched the ZerePy launchpad. Another leading project is ai16z, named after the famous Silicon Valley VC. ai16z operates as a decentralized hedge fund with an AI agent as their leading partner. ai16z is also the team behind the Eliza framework, which is an open-source AI agent development software that powers a number of agents. In fact, the Eliza [Github](#) repository has over 6.9K stars and has been forked over 2k times, indicating its popularity.

We also have individual AI agents, the most notable of which is aixbt, which provides daily market analysis on a range of crypto topics. While many other agents are focused on a similar use case, we also have a growing number of entertainment agents, with other types like trading-agents being built out. The cross-pollination of AI and crypto is undoubtedly a major narrative to keep track of as we enter 2025.

04 / Upcoming Events and Token Unlocks

Figure 9: Notable Events in January 2025



Source: Itez, Binance Research

Figure 10: Largest token unlocks in US\$ terms

PROJECT	TOKEN	UNLOCK IN US\$ EQUIVALENT	% OF SUPPLY	UNLOCK DATE
	\$CIRX	102.9M	62.4%	12 Jan
	\$APT	104.2M	2.03%	12 Jan
	\$ARB	70.9M	2.20%	16 Jan
	\$RON	63.7M	8.99%	7 Jan
	\$JTO	38.2M	4.09%	18 Jan
	\$SUXLINK	37.1M	15.63%	24 Jan
	\$IMX	34.6M	1.43%	22 Jan
	\$ZETA	32.2M	9.35%	1 Jan
	\$ZKJ	31.1M	28.52%	19 Jan
	\$ALT	28.M	10.35%	25 Jan

Source: CryptoRank, Binance Research

05 / References

defillama.com/
coinmarketcap.com/
cryptoslam.io/
token.unlocks.app/
dune.com/
itez.com/events
cryptorank.io/

06 / New Binance Research Reports

Navigating Crypto: Industry Map [Link](#)

An overview of different verticals in crypto



The Future of Crypto Wallets [Link](#)

An exploration of the crypto wallet industry and how these new digital platforms could revolutionize the Internet



About Binance Research

Binance Research is the research arm of Binance, the world's leading cryptocurrency exchange. The team is committed to delivering objective, independent, and comprehensive analysis and aims to be the thought leader in the crypto space. Our analysts publish insightful thought pieces regularly on topics related but not limited to, the crypto ecosystem, blockchain technologies, and the latest market themes.



Jie Xuan Chua
Macro Researcher

Jie Xuan ("JX") is currently working for Binance as Macro Researcher. Prior to joining Binance, he worked as a Global Investment Specialist with J.P. Morgan and had prior Equity Research experiences at various fund houses. JX is a CFA charterholder. He has been involved in the cryptocurrency space since 2017.



Shivam Sharma
Macro Researcher

Shivam is currently working for Binance as Macro Researcher. Prior to joining Binance, he worked as an Investment Banking Associate / Analyst at Bank of America on the Debt Capital Markets desk, specializing in European Financial Institutions. Shivam holds a BSc Economics degree from the London School of Economics & Political Science ("LSE") and has been involved in the cryptocurrency space since 2017.



Joshua Wong
Macro Researcher

Joshua is currently working for Binance as a Macro Researcher. He has been involved in the cryptocurrency space since 2019. Prior to joining Binance, he worked as a product manager at a Web3 fintech startup, and a market analyst at a DeFi startup. He holds a Bachelor of Laws (LLB) from Durham University.



Moulik Nagesh

Macro Researcher

Moulik is a Macro Researcher at Binance, and he has been involved in the cryptocurrency space since 2017. Prior to joining Binance, he had experience spanning cross-functional roles in Web3- and Silicon Valley-based tech companies. With a background in co-founding start-ups and a BSc in Economics from the London School of Economics & Political Science (“LSE”), Moulik brings a comprehensive perspective to the industry.



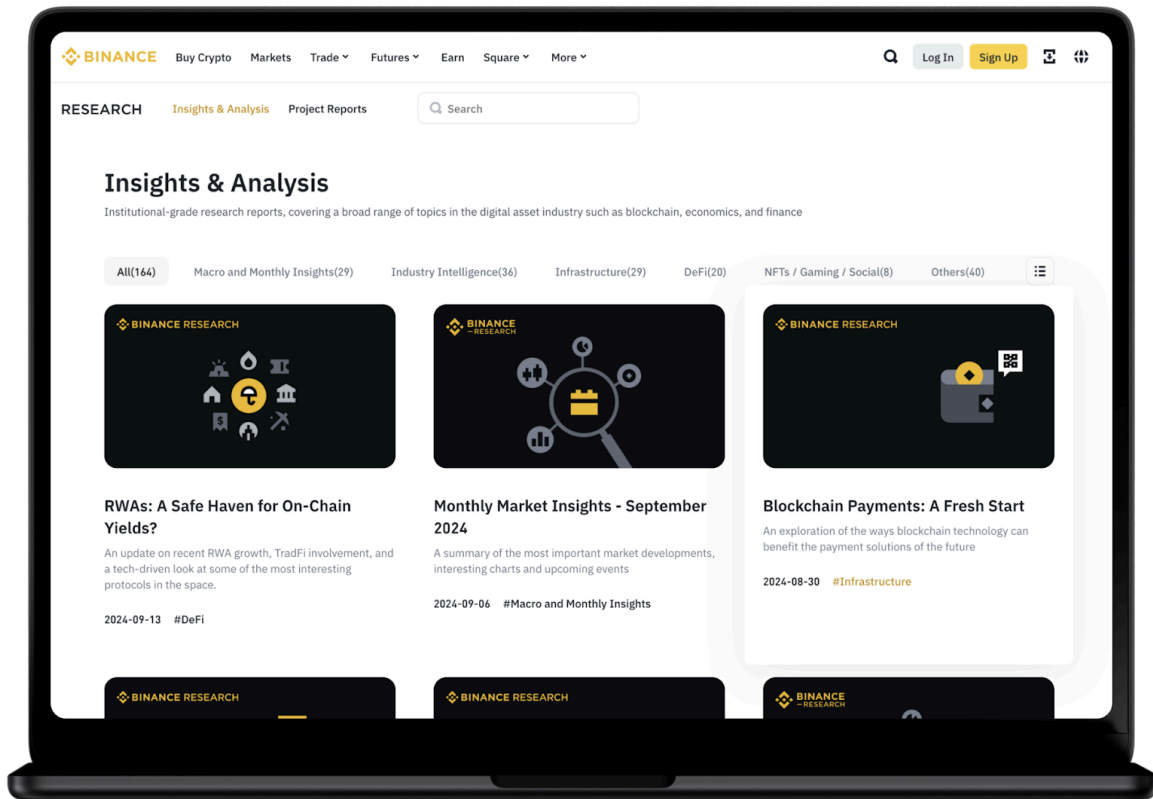
Jamyson Gouveros

Macro Research Intern

Jamyson is currently working for Binance as a Macro Research Analyst intern. Prior to joining Binance, he worked as a Venture Capital Analyst, and later, a pre-seed investor. He is a sophomore at the University of New South Wales (“UNSW”) and has been involved in the cryptocurrency space since 2021 after founding a Tokenisation start-up.

Resources

Binance Research [Link](#)



Share your feedback [here](#)

GENERAL DISCLOSURE: This material is prepared by Binance Research and is not intended to be relied upon as a forecast or investment advice, and is not a recommendation, offer or solicitation to buy or sell any securities, cryptocurrencies or to adopt any investment strategy. The use of terminology and the views expressed are intended to promote understanding and the responsible development of the sector and should not be interpreted as definitive legal views or those of Binance. The opinions expressed are as of the date shown above and are the opinions of the writer, they may change as subsequent conditions vary. The information and opinions contained in this material are derived from proprietary and non-proprietary sources deemed by Binance Research to be reliable, are not necessarily all-inclusive and are not guaranteed as to accuracy. As such, no warranty of accuracy or reliability is given and no responsibility arising in any other way for errors and omissions (including responsibility to any person by reason of negligence) is accepted by Binance. This material may contain 'forward looking' information that is not purely historical in nature. Such information may include, among other things, projections and forecasts. There is no guarantee that any forecasts made will come to pass. Reliance upon information in this material is at the sole discretion of the reader. This material is intended for information purposes only and does not constitute investment advice or an offer or solicitation to purchase or sell in any securities, cryptocurrencies or any investment strategy nor shall any securities or cryptocurrency be offered or sold to any person in any jurisdiction in which an offer, solicitation, purchase or sale would be unlawful under the laws of such jurisdiction. Investment involves risks. For more information, please click [here](#).